



Increasing money circulation

Most of the money in the economy occurs in the form of bank deposits—the appearance of funds in bank accounts. Banks increase money circulation whenever they make loans.

How it works

When a bank decides to give a customer a loan, it will credit their account with the agreed amount. From the moment the loan shows up electronically in that customer's account, they will expect to be able to withdraw it as cash, so the bank must have that cash available in order to be able to hand it over to the customer on demand. Similarly, if the customer wants to use the loan to pay money into a different

bank account in a different bank—having for example paid for goods with a debit card—the issuing bank must be able to persuade the second bank to accept the transfer of credit money. Because the issuing bank is liable to meet demands such as these, the deposit money that it has credited to the customer's account is seen as a liability as the bank will have to pay this money out. By contrast, the loan is regarded as an asset for

the bank. This is because the bank can expect to recoup the money it has issued as a loan, along with the accrued interest, and it has a legal right to enforce the repayment should the customer refuse to pay. The bank records this transaction using a system of accounting called double entry bookkeeping, which reflects the equal and opposite effects that the issuing of the loan will have on the bank's accounting books (*see right*).

BANK ASSETS AND LIABILITIES

Assets

An asset is something that is owned that can be used to pay debts. Assets usually produce a return over time. A bank's most important asset is its customer loan book, since customers pay interest on loans.

Liabilities

A liability is an obligation that is legally due to be paid. A bank's major liabilities are its customers' bank accounts, since all of its customers expect to be able to withdraw their money at some moment in time.

Balancing the books

Banks increase money circulation when they issue a loan in the form of money deposited in a customer's account. Although the loan and its repayment is an asset, the extra account money is a liability, because if the bank fails to make the money available on demand, it could collapse. To prevent this from occurring, banks maintain tight control of their balance sheets, making sure their liabilities always match their assets. They carefully assess customers who apply for loans to ensure they will be able to make repayments. Central banks (*see pp.100–103*) exist to oversee the whole system and support banks when they face difficulties.

\$1.2 trillion
the amount of US currency
in circulation



ASSETS